

General Terms and Conditions of Payment

- 7.5 Any claims for damages for defective products shall be subject to two useless attempts of subsequent performance. In case of substitute delivery the customer is obliged to return the defective products upon request.
- 7.6 A withdrawal from the contract or a claim for reduction of purchase price shall be granted only if the defect cannot be remedied within an appropriate period, if subsequent performance will incur disproportionate costs, is unreasonable or must be considered as failed for other reasons. The customer shall, however, have no right to withdraw from the contract in case of minor defects.
- 7.7 The customer shall allow us to inspect any rejected products without undue delay; in particular these products shall be made available to us upon request and at our cost. If complaints are unfounded, we may charge the transport costs and inspection expenses to the customer. Furthermore, if a complaint is unfounded, we have the right to scrap the goods 8 weeks after delivery unless the customer has applied for their return before expiry of this period at his own expense.
- 7.8 No claims for defects may be raised in case of merely insubstantial deviations from the agreed quality, insubstantial impairment of serviceability, or if the defect can be put down to a violation of operating, maintenance or installation instructions, improper use or storage, faulty or negligent handling or assembly, natural wear and tear or tampering with the delivery item by the customer or a third party. Any claims and costs regarding the subsequent performance, the recession of the contract and/ or damages because of defective goods, in particular costs for shipment, transportation, labour and material are excluded, insofar as these claims and costs result from a shipment to another place as the agreed place of performance after passing of risk. However, this does not apply in case such shipment does correspond with the normal use known to us. No claims for defects may be asserted if they are caused by outside influences or external damage.
- 7.9 No costs may be claimed regarding the subsequent performance, the withdrawal from the contract or damage-repair because of defective products, in particular costs for shipment, transportation, labour and material, insofar as these claims and costs result from the fact that the products have been transferred to a place different from the agreed place of performance after passing of risk. However, this does not apply in case such transfer corresponds with the normal use of the products known to us.
- 7.10 Damages and reimbursement of expenses may only be claimed according to clause 8.
- 7.11 The customer may not make the aforementioned claims for any products, which, according to mutual agreement, we do not deliver as new products.
- 7.12 The handling of complaints requires that the customer sends these articles to our Quality Assurance Department with a completed warranty claim form. For this purpose, GVA and VDA have prepared an application form which can be found on the Internet at www.corteco.com

8. Liability

- 8.1 We shall be liable for any damages, in particular resulting from a breach of duty of care when entering into a contract (*culpa in contrahendo*), from a breach of obligations or from unlawful acts (Sec. 823 *et seq.* German Civil Code (*BGB*)), only to the extent that we, our employees or vicarious agents (*Erfüllungsgehilfen*) have acted intentionally or grossly negligent.
- 8.2 For damages resulting from death or bodily harm or a violation of material contractual obligations, we shall also be liable for ordinary negligence. Contractual obligations shall be deemed as "material" if their fulfilment is a prerequisite for proper performance of the contract and the customer regularly trusts in their fulfilment and also may do so. In case of a violation of a material contractual obligation our liability shall be limited to the direct average damage, predictable and typical for the respective type of product. This shall also apply to a breach of obligations by our employees or vicarious agents (*Verrichtungsgehilfen* or *Erfüllungsgehilfen*).
- 8.3 We shall be liable for the infringement of third parties' industrial property rights in connection with the sale of our products under the foregoing provisions only if the infringement results from the proper use of the product, and only to the extent such third parties' industrial property rights are valid in the Federal Republic of Germany and have been published at the time of delivery. This shall not apply if we have manufactured the product according to drawings, models, or other descriptions or data provided by the customer and if we did not know or did not have to know of any infringement of industrial property rights in connection with the developed product. In this case our customer is liable for any current or future infringement of third parties' industrial property rights. The customer undertakes to

inform us without undue delay of any potential and alleged cases of infringement of third parties' industrial property rights he may become aware of, and to indemnify us from any third parties' claims, costs and expenses incurred.

- 8.4 Claims for defects of delivered products, including any damages relating to such defects – irrespective of the legal grounds – shall become time-barred 1 year after delivery. This shall not apply to products that, consistent with their usual application, are used in buildings and have caused the building's defectiveness; in that case claims shall become time-barred 5 years after delivery. All other claims under clauses 8.1 to 8.3 shall become time-barred according to the statutory provisions.
- 8.5 Claims for price reduction and rights to withdraw from the contract shall be excluded insofar as the primary claim for performance or the secondary claim for subsequent performance has become time-barred.
- 8.6 Our liability pursuant to the provisions of the German Product Liability Act (*Produkthaftungsgesetz*) and Sec. 478, 479 German Civil Code (*Letztveräußererregress*) shall remain unaffected by the foregoing provisions.
- 8.7 We shall only be liable for claims of recourse by the customer if and to the extent the customer has not accepted obligations towards his own customer beyond the mandatory statutory provisions on remedies for defects and liability. Unless agreed otherwise in writing, clauses 7 and 8 shall apply accordingly to any claims of recourse raised by the customer.
- 8.8 We do not accept any further liability.

9. Confidentiality

- 9.1 Customer shall keep any knowledge and information of a technical or economical nature it has received from us in connection with the business relationship ("Confidential Information") strictly confidential towards third parties at any time, even after the end of the business relationship, unless the customer proves that the Confidential Information is (i) already known to the customer or in the public domain at the time of disclosure or subsequently becomes public knowledge other than through a fault of the customer, (ii) subsequently developed by the customer completely independent from the Confidential Information, or (iii) received by the customer from a third party without breach of a confidentiality obligation.
- 9.2 We remain the sole owner of any documents, in particular drawings, containing Confidential Information, which are disclosed in the course of the business relationship. Any such documents must be returned to us upon our request but at the latest at the end of the business relationship. The customer has no right of retention regarding Confidential Information or documents or materials containing Confidential Information.
- 9.3 The disclosure of Confidential Information does not establish any industrial property rights, rights to knowhow or copyrights of the customer and does not constitute a prior publication or right of prior use according to the applicable patent, design and utility model laws. Any kind of license is subject to a written agreement.

10. Compliance

- 10.1 The customer undertakes not to deal with or otherwise cooperate, neither directly nor indirectly, with any terrorist or terrorist organizations or any other criminal or anti-constitutional organizations. The customer will in particular establish reasonable organizational measures to implement applicable embargoes, the European regulations against terroristic and criminal acts and the respective requirements under US law or any other law applicable to the business relationship, in particular by implementing adequate software systems. Once a product has left our facilities, the customer shall be solely responsible for compliance with the abovementioned provisions and shall indemnify us from any and all claims or related costs resulting from the violation of the respective laws or regulations by the customer, its affiliates, employees, representatives or any of its vicarious agents (*Erfüllungsgehilfen*), including reasonable attorney or consultant fees, administrative fees and penalties.
- 10.2 We will reasonably comply with the obligations resulting from the European Chemicals Regulation No. 1907/2006 ("REACH") that are directly applicable to us and will be liable for breaches according to clause 8. The customer shall, however, be solely liable for any negative consequences resulting from the provision of insufficient information by the customer, including any incorrect or incomplete information relating to the use of products within the supply chain.
- 10.3 The customer shall comply with foreign trade law provisions, in particular with any applicable export control regulations under German, EU and US law.